Investigation: IRB - BRASIL RESSEGUROS S.A. (CVM code 24180), fiscal year 2018, as it was on 2019-04-30

Statistical signal based on public financial statements. Not an accusation, not investment advice.

Company

Sector: Seguradoras e Corretoras (origin: FCA); group: financial.
Trading codes (2019 FCA, version 1, filed on 2019-01-29): IRBR3 (Ações Ordinárias, Bolsa, since 2017-07-31).

Document used

2018 DFP, version 4, filed on 2019-03-08; origin: open data; type: consolidated; original scale: MIL.
Versions known on the date: 1 (2019-02-07); 2 (2019-03-07); 3 (2019-03-07); 4 (2019-03-08).
Document at the CVM: http://www.rad.cvm.gov.br/ENETCONSULTA/frmDownloadDocumento.aspx?CodigoInstituicao=1&NumeroSequencialDocumento=81090

Possible manipulation (engine v1, study 1)

Non-recurring weight (financial companies)
- Value: 0.053 (index)
- Alert by the study 1 rule: no
- Rule: non-recurring weight in the year's top decile among financial companies (≥ 90th percentile of computable values on the date: 1.024)
- Percentile in sector and year: fewer than 10 companies with a computable value
- Percentile in group and year: 22 (n = 20)
- The company's own history: fewer than 5 previous fiscal years with a value
- Confidence in the data: medium

Financial risk (context only)

Altman Z'' (financial risk, context only)
- Value: does not apply to financial companies
- Percentile in sector and year: —
- The company's own history: fewer than 5 previous fiscal years with a value

Financial quality (context only)

Piotroski F (financial quality, context only)
- Value: does not apply to financial companies

Changes

Restatement through the following year's comparative: no difference above the tolerance, or the next year's DFP did not exist yet on the date.

What was known on the date

- DFP 2016, v1: 2017-07-31
- FCA 2018, v1: 2018-01-17
- DFP 2017, v1: 2018-02-08
- DFP 2018, v1: 2019-02-07
- DFP 2018, v2: 2019-03-07
- DFP 2018, v3: 2019-03-07
- DFP 2018, v4: 2019-03-08

DFP and FCA filed with the CVM by the reference date; ITR comes in a later phase.
Material facts and market notices filed by the date (IPE open data, since 2010): 9 material fact documents and 33 market notice documents.

Material facts filed in the 24 months before the date (from 2017-05-01 to 2019-04-30):
- 2019-03-14: subject omitted (possible person's name); see the document at the CVM (version 2)
- 2019-02-26: Conclusão do procedimento de bookbuilding da oferta pública
- 2019-02-15: Início de oferta pública com esforços restritos de distribuição secundária
- 2019-02-07: Projeções 2019
- 2018-10-31: subject omitted (possible person's name); see the document at the CVM
- 2018-02-08: Divulgação de Guidance da Companhia (version 3)
- 2017-12-13: subject omitted (possible person's name); see the document at the CVM (version 2)
- 2017-11-06: subject omitted (possible person's name); see the document at the CVM
- 2017-09-28: Divulgação de Guidance da Companhia (version 2)

Older material facts, the market notices and the link to each document are in the JSON and on screen.
Material facts and market notices filed with the CVM by the date, from the IPE open data (since 2010): filing date, category, subject (as filed, in Portuguese) and link. The content of the documents is not downloaded, read or summarized, and the list generates no alert, score or ranking. The counts are of documents: versions, resubmissions and English versions count separately; in the list, versions of the same document and documents with the same date, category and subject appear on a single line, with a link to each one.

Data quality

10 applicable checks; 0 failed.

Auditor's report and auditor (factual section; no alert)

Auditor's report: Sem Ressalva (unqualified).
Excerpt checked literally: "Em nossa opinião, essas demonstrações do valor adicionado foram adequadamente elaboradas, em todos os aspectos relevantes, segundo os critérios definidos nesse Pronunciamento Técnico e são consistentes em relação às demonstrações contábeis individuais e consolidadas tomadas em conjunto."
Auditor in the 2017 FCA: PricewaterhouseCoopers Auditores Independentes.
Auditor in the 2018 FCA: PricewaterhouseCoopers Auditores Independentes, PricewaterhouseCoopers Auditores Independentes.
Auditor in the 2019 FCA: PricewaterhouseCoopers Auditores Independentes.
Auditor changes: none in the FCAs filed by the date.
Auditor rotation: under CVM Resolution No. 23/2021, art. 31, the same independent auditor may not serve the same client for more than five consecutive fiscal years, with a minimum interval of three fiscal years before being hired again; under art. 31-A, the term is up to ten consecutive fiscal years when the company has a statutory audit committee in permanent operation and the auditor is a firm. The Resolution has been in force since 2021-04-01 (art. 41); before that, the equivalent rule was in arts. 31 and 31-A of CVM Instruction No. 308/1999, revoked by the Resolution (art. 40, I). A change of auditor is a fact, not an alert.

Document excerpts (copied; no alert)

Excerpts copied from the documents, with the page, and the Reference Form table. It is not a signal family: it generates no alert, score or ranking. Absence of mention does not prove absence.
How the reader was tested: 20 held-out cases, a single measurement with the frozen reader (c99c953): precision 0.962, coverage 0.962, literal check on 132 of 132 excerpts, no natural-person name (docs/leitor_medida.json).

Explanatory notes · Related parties
Note: 21 Partes relacionadas (pages 54 to 55)
- [other related parties] “As principais transações realizadas pela Resseguradora com partes relacionadas (acionistas) em condições normais de mercado estão apresentadas a seguir:” (p. 54, original excerpt in Portuguese)
- [other related parties] “Referem-se a operações de resseguros e retrocessões realizadas com empresas seguradoras que são acionistas desta Resseguradora, cujos montantes estão incluídos

nos grupos "créditos das operações com resseguros e retrocessões" e "débitos das operações com resseguros e retrocessões" no balanço patrimonial e nas respectivas contas registradas nas demonstrações do resultado.” (p. 54, original excerpt in Portuguese)
- [key management personnel] “21.1 Remuneração do pessoal-chave da Administração” (p. 55, original excerpt in Portuguese)
- [key management personnel] “A remuneração total dos diretores e dos demais conselhos e comitês da Companhia, em 31 de dezembro de 2018 e 2017,” (p. 55, original excerpt in Portuguese)
- [key management personnel] “Benefícios de curto Benefícios de longo Benefício pós-emprego Total prazo a administradores prazo a administradores” (p. 55, original excerpt in Portuguese)
- [key management personnel] “administradores estatutários como contrapartida à meta de dobrar o valor de mercado da Companhia no período de maio” (p. 55, original excerpt in Portuguese)

Fields of item 18 of CPC 05 (R1)
- [balances] “A receber A pagar A receber A pagar Resultado Resultado Com participação acionária na Resseguradora” (p. 54, original excerpt in Portuguese)
- [amount of the transactions] “Indenizações e despesas com sinistros 4.068 6.445 5.949 25.925 (511.642) (806.890)” (p. 54, original excerpt in Portuguese)
- [amount of the transactions] “Comissões - 33.929 - 5.337 (235.087) (230.758)” (p. 54, original excerpt in Portuguese)
- [amount of the transactions] “Outros - 292 - 8.096 (492) (5.977)” (p. 54, original excerpt in Portuguese)
- [amount of the transactions] “349.585 142.244 24.833 160.180 346.126 239.382” (p. 54, original excerpt in Portuguese)
- [amount of the transactions] “Referem-se a operações de resseguros e retrocessões realizadas com empresas seguradoras que são acionistas desta Resseguradora, cujos montantes estão incluídos nos grupos "créditos das operações com resseguros e retrocessões" e "débitos das operações com resseguros e retrocessões" no balanço patrimonial e nas respectivas contas registradas nas demonstrações do resultado.” (p. 54, original excerpt in Portuguese)
- [terms and conditions] “Benefícios de curto Benefícios de longo Benefício pós-emprego Total prazo a administradores prazo a administradores” (p. 55, original excerpt in Portuguese)
- [balances] “Contas a pagar” (p. 55, original excerpt in Portuguese)
- [balances] “2017 1.873 2.391 - 4.264” (p. 55, original excerpt in Portuguese)
- [balances] “2018 4.422 13.776 (*) - 18.198” (p. 55, original excerpt in Portuguese)

Market terms
- “As principais transações realizadas pela Resseguradora com partes relacionadas (acionistas) em condições normais de mercado estão apresentadas a seguir:” (p. 54, original excerpt in Portuguese)

The sentence about market terms is recorded as a fact, without proof (CPC 05 (R1), item 23).

Explanatory notes · Reverse factoring and forfaiting

The reader found no mention of reverse factoring (risco sacado), forfaiting or supplier agreements in the notes of this DFP. Absence of mention does not prove absence of the operation.

Auditor's report

Type of opinion: unqualified
- [key audit matters] “Principais Assuntos de Auditoria (PAA) são aqueles que, em nosso julgamento profissional, foram os mais significativos em nossa auditoria do exercício corrente. Esses assuntos foram tratados no contexto de nossa auditoria das demonstrações financeiras individuais e consolidadas como um todo e na formação de nossa opinião sobre essas demonstrações financeiras individuais e consolidadas e, portanto, não expressamos uma opinião separada sobre esses assuntos. Nossa auditoria para o exercício findo em 31 de dezembro de 2018 foi planejada e executada considerando que as operações da Companhia e suas controladas não apresentaram modificações significativas em relação ao exercício anterior, findo em 31 de dezembro de 2017. Nesse contexto, os Principais Assuntos de Auditoria, bem como nossa abordagem de auditoria, mantiveram-se substancialmente alinhados àqueles do exercício anterior.” (cut at the end of a sentence, original excerpt in Portuguese)
- Excerpt omitted; see the auditor's report in the document

Reference Form
The Reference Form for this fiscal year was not available on the date. It is the only version available in the open data; earlier versions are not there.

Limits of this section:
- In real documents, about 22% of the excerpts come out omitted by the name detector, including names of companies outside the registry.
- In tables, header lines (years, column titles) may come out as excerpts; the held-out cases had no tables with multi-line headers.

How the engine was tested
In study 1, engine v1 detected 7 of 13 detectable cases, with 108.3 false alarms per detected case over the whole period and an alert rate of 49.9% among evaluated non-financial company-years (docs/summary.md).

Limits
- No alert is not a clean bill of health. In Dechow, Sloan and Sweeney (1995), the most powerful accruals model rejected 'no manipulation' for only 28.1% of 32 companies sanctioned by the SEC (Table 7, p. 32).
- In study 1, 49.9% of evaluated non-financial company-years (48.3% including financial companies) were in alert, and the number of detections did not beat chance in a descriptive test done after the result: 7 detections in 13 detectable cases, against 7.37 expected by chance without assuming independent years (8.56 assuming independent years).
- Risk models use numbers that may be manipulated (Pereira and Martins 2015, p. 29). That is why the three families are not added up.

Limitations
- Context indicators (Altman Z'' and Piotroski F) were not validated in Brazil by this project and do not trigger alerts

Evidence in the JSON: 2 DFP lines, each with document, version, filing date, account and location.

Engine
motor v1 (estudo 1), branch estudo-1-final, commit 8c9a823; chiocca.v2 (produto, fases B a F1); leitor-f1-1 (commit c99c953). The generation date is in the demo manifest (demo/manifesto.json).

Today's information (outside the reference date)
Registry status: ATIVO. Source: CVM registry of listed companies (cad_cia_aberta.csv), in the version downloaded for the project, not on the reference date.
Name in today's registry: IRB - BRASIL RESSEGUROS S.A.